

CARBACID INVESTMENTS plc

UNAUDITED CONSOLIDATED RESULTS

FOR THE SIX MONTHS ENDED

31ST JANUARY 2019

CARBACID INVESTMENTS plc
UNAUDITED CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR 6 MONTHS ENDED 31 JANUARY 2019

	6 Months to 31 January 2019 <u>Shs '000</u>	6 Months to 31 January 2018 <u>Shs '000</u>
TURNOVER	304,851	301,566
COST OF SALES	(141,790)	(132,586)
GROSS PROFIT	163,061	168,980
OTHER OPERATING INCOME	18,751	15,321
ADMINISTRATIVE EXPENSES	(59,927)	(48,828)
OPERATING PROFIT	121,885	135,473
FINANCE INCOME	79,766	76,155
FOREIGN EXCHANGE DIFFERENCES	222	154
FAIR VALUE GAIN ON INVESTMENT PROPERTIES	-	0
ADJUSTMENT ON REVALUATION OF EQUITY INVESTMENTS	(48,003)	6,108
PROFIT BEFORE TAX	153,870	217,890
TAXATION	(48,551)	(52,907)
PROFIT AFTER TAX	105,319	164,983
INTERIM DIVIDEND PER SHARE	-	0.00
EARNINGS PER SHARE	0.41	0.65
No. of Shares in issue	254,851,985	254,851,985

CARBACID INVESTMENTS plc
UNAUDITED CONSOLIDATED STATEMENT OF FINANCIAL POSITION
FOR SIX MONTHS ENDED 31ST JANUARY 2019

	31st January 2019 (Unaudited) Shs '000	31st January 2018 (Unaudited) Shs '000
ASSETS		
Non Current Assets		
Property, Plant & Equipment	984,941	952,863
Investment Property	245,200	233,000
Operating Lease Prepayment	53,941	54,412
Equity Investments	357,687	370,290
Corporate Bonds	195,625	250,757
Treasury Bonds	783,515	475,815
	<u>2,620,909</u>	<u>2,337,137</u>
Current Assets		
Inventories	42,511	60,741
Trade & Other Receivables	136,172	158,804
Short Term Deposits	471,867	625,373
Bank & Cash Balances	13,120	59,029
Taxation Recoverable	27,048	29,275
	<u>690,718</u>	<u>933,222</u>
Total Assets	<u><u>3,311,627</u></u>	<u><u>3,270,359</u></u>
EQUITY & LIABILITIES		
Share Capital & Reserves		
Share Capital	254,852	254,852
Revaluation Surplus & Share Premium	152,155	160,075
Revenue Reserves	2,458,811	2,330,761
Surplus for the 6 months	105,319	164,983
	<u>2,971,137</u>	<u>2,910,671</u>
Non Current Liabilities		
Deferred Income Taxes	214,016	234,698
Current Liabilities		
Trade & Other Payables	97,023	111,207
Unclaimed dividends	29,451	13,783
Taxation Payable	-	-
	<u>126,474</u>	<u>124,990</u>
Total Equity & Liabilities	<u><u>3,311,627</u></u>	<u><u>3,270,359</u></u>

CARBACID INVESTMENTS plc
UNAUDITED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR SIX MONTHS ENDED 31ST JANUARY 2019

	<u>Share Capital Shs '000</u>	<u>Share Premium Shs '000</u>	<u>Revaluation Surplus Shs '000</u>	<u>Retained Earnings Shs '000</u>	<u>Total Shs '000</u>
As at 31st July 2018	254,852	27	152,128	2,637,207	3,044,214
Capitalisation of retained earnings				-	-
Net Profit for the period				105,319	105,319
Final Dividend Paid				(178,396)	(178,396)
As At 31st January 2019	<u>254,852</u>	<u>27</u>	<u>152,128</u>	<u>2,564,130</u>	<u>2,971,137</u>

CARBACID INVESTMENTS plc
UNAUDITED CONSOLIDATED STATEMENT OF CASH FLOWS
FOR SIX MONTHS ENDED 31ST JANUARY 2019

	6 Months to 31 Jan 2019 (Unaudited) Shs '000	6 Months to 31 Jan 2018 (Unaudited) Shs '000
<u>OPERATING ACTIVITIES</u>		
Cash Generated from Operations	152,124	108,608
Interest Received	79,766	76,155
Taxation Paid - Final Tax 2018	-	(18,720)
Taxation Paid - Instalments 2019	(32,371)	(37,832)
Net Cash Generated from Operating Activities	<u>199,519</u>	<u>128,211</u>
<u>INVESTING ACTIVITIES</u>		
Purchase of Plant & Equipment	(47,445)	(5,542)
Proceeds from Redemption of Corporate Bonds	15,625	29,729
Purchase of Equity Investment	(17,261)	
Purchase of Treasury Bonds	(299,226)	(50,815)
Dividends Received from equity instruments	4,607	3,146
Proceeds from sale of Fixed Assets	-	3,812
Net Cash Used in Investing Activities	<u>(343,700)</u>	<u>(19,670)</u>
<u>FINANCING ACTIVITIES</u>		
Dividends Paid	<u>(178,396)</u>	<u>(178,396)</u>
INCREASE / (DECREASE) IN CASH & CASH EQUIVALENTS	<u>(322,577)</u>	<u>(69,855)</u>
CASH & CASH EQUIVALENTS AT THE START OF THE PERIOD (maturing in less than 3 months)	807,564	754,259
CASH & CASH EQUIVALENTS AT THE END OF THE PERIOD (maturing in less than 3 months)	<u><u>484,987</u></u>	<u><u>684,404</u></u>

CARBACID INVESTMENTS plc

UNAUDITED CONSOLIDATED RESULTS FOR THE SIX MONTHS ENDED 31ST JANUARY 2019

Income Statement

	6 months to 31-Jan-19 Shs '000	6 months to 31-Jan-18 Shs '000
Turnover	<u>304,851</u>	<u>301,566</u>
Operating profit	121,885	135,473
Finance Income	79,766	76,155
Foreign Exchange Differences	222	154
Revaluation of equity investments	<u>(48,003)</u>	<u>6,108</u>
Profit before taxation	153,870	217,890
Taxation charge	<u>(48,551)</u>	<u>(52,907)</u>
Net Profit After Tax	<u>105,319</u>	<u>164,983</u>
Earnings per share – Basic & Diluted	<u>Shs 0.41</u>	<u>Shs 0.65</u>

Statement of Financial Position

	As at 31-Jan-19 Shs '000	As at 31-Jan-18 Shs '000
ASSETS		
Non Current Assets		
Property, plant and equipment	984,941	952,863
Investment property	245,200	233,000
Operating lease prepayment	53,941	54,412
Equity investments	357,687	370,290
Bonds and treasury bonds	<u>979,140</u>	<u>726,572</u>
	<u>2,620,909</u>	<u>2,337,137</u>
Working Capital		
Current assets	690,718	933,222
Current liabilities	<u>(126,474)</u>	<u>(124,990)</u>
Net working capital	<u>564,244</u>	<u>808,232</u>
Total net assets	<u>3,185,153</u>	<u>3,145,369</u>
EQUITY AND LIABILITIES		
Share Capital and Reserves		
Share capital	254,852	254,852
Capital reserves	152,155	160,075
Revenue Reserves	2,458,811	2,330,761
Surplus for the period	<u>105,319</u>	<u>164,983</u>
	<u>2,971,137</u>	<u>2,910,671</u>
Non current liabilities		
Deferred income taxes	214,016	234,698
Total equity and liabilities	<u>3,185,153</u>	<u>3,145,369</u>

Cash Flow Statement for the six months ended 31st January 2019

	6 months to 31-Jan-19 Shs '000	6 months to 31-Jan-18 Shs '000
Balance at 31st July 2018	807,564	754,259
Net cash generated from operating	199,519	128,211
Net cash used in Investing activities	(343,700)	(19,670)
Cash used in payment of Dividends	<u>(178,396)</u>	<u>(178,396)</u>
Balance at 31st January 2019	<u>484,987</u>	<u>684,404</u>

Statement of Changes in Equity for the six months ended 31st January 2019

	Share Capital Shs '000	Share Premium Shs '000	Capital Reserves Shs '000	Revenue Reserves Shs '000	Total Shs '000
As at 31st July 2018	254,852	27	152,128	2,637,207	3,044,214
Net Profit for the period	-	-	-	105,319	105,319
Final Dividend Paid	-	-	-	(178,396)	(178,396)
As at 31st January 2019	<u>254,852</u>	<u>27</u>	<u>152,128</u>	<u>2,564,130</u>	<u>2,971,137</u>

Results for the six months ended 31st January 2019

Turnover for the first 6 months of the year increased by 1% compared to the same period last year. Operating profit however reduced by 10% compared to the corresponding period in the previous year due to increasing operating costs that are influenced by external drivers. Mining Royalties and County Government demands continue to put more pressure on operations and margins. The Group continues to look for new markets and process improvement opportunities.

Group profit after tax has been impacted by a substantial drop in the value of investments in equities in the Nairobi Securities Exchange (NSE) and Dar-es-Salaam (DSE) Stock Exchange, by Shs 48 million. This compares to a gain of Shs 6 million in the same period last year. The NSE and DSE indices lost 15% of their respective values over the 6 month period, and it is not certain that the markets will rebound sufficiently to recoup the drop in investment values by 31st July 2019. As a result the full year results are expected to be lower than prior year. The Board will continue to apply strategies to ensure best performance under the circumstances.

Dividend

As has been the practice in the past few years a final dividend will be considered based on full year results.

Profit warning

Carbacid Investments Plc (the Company) makes this announcement pursuant to Regulation G.05 (1) (f) and (2) of the Nairobi Securities Exchange Listing Manual and the Capital Markets (Securities) (Public Offers, Listing and Disclosures) Regulations, 2002.

Based on the Company's unaudited financial results for the first six months ended 31st January 2019 and the Company's second half forecast particularly as regards the investment portfolio, profit for the full year is projected to be at least 25% lower than the previous financial year.

By Order of the Board,
N P Kothari,
Secretary,
19th March 2019